

Bangladesh's Garment Empire in Transition

Post-Hasina Politics and the LDC Graduation Challenge

Blue Lotus Research Intelligence | August 2026

Classification: Open Intelligence

Executive Summary

Bangladesh has built its economy on export manufacturing, with the garment sector accounting for approximately 83% of total merchandise exports CNA[2018-12-31]. The country, home to 160 million people, has long aspired to middle-income status — a goal that was being actively pursued through sustained export growth and financial sector development CNA[2016-03-15]. In 2026 Bangladesh is navigating a political transition following the fall of Prime Minister Sheikh Hasina, managing a deepening energy crisis, and grappling with acute regional tensions — including a deteriorating relationship with India and an unresolved Rohingya crisis on its western border.

Part I — The Garment Empire

Exports and Diversification

Bangladesh's Ready-Made Garment (RMG) industry is the country's economic spine. Garment exports accounted for approximately 83% of Bangladesh's total merchandise exports CNA[2018-12-31]. The government under Hasina's son Sajeed Wazed had stated an ambition to diversify Bangladesh's export base into electronics, reducing the economy's structural dependence on a single sector CNA[2018-12-31].

Bangladesh's two dominant external economic partners — India and China — have played contrasting roles in the country's development. India helped Bangladesh win independence from Pakistan in 1971 and remains a key neighbour, while China emerged as the country's other top investor and was described by Wazed as "very proactive" about investment CNA[2018-12-31].

Bangladesh's foreign exchange reserves increased four-fold to US\$28 billion during the tenure of central bank governor Atiur Rahman, a period that also saw efforts to extend banking access to farmers and women entrepreneurs CNA[2016-03-15].

Part II — The Political Earthquake of 2024 and Its Aftermath

Post-Hasina Bangladesh-India Tensions

The fall of Sheikh Hasina and her Awami League party triggered a sharp deterioration in Bangladesh-India relations. India has undertaken forced deportations of allegedly illegal Bangladeshi immigrants, which critics called out for lack of due process. Since Hasina's removal, some Bangladeshi politicians have been ramping up anti-Indian rhetoric, and both countries have exchanged acrimonious diplomatic notes. Bangladesh has not been sufficiently grateful for India's historical role, in India's view,

while Bangladesh resents India's condescension CNA[2025-12-26].

The instability has had violent domestic consequences. In December 2025, supporters blocked Shahbagh Square in Dhaka to protest and demand justice for Sharif Osman Hadi, a student leader who had been undergoing treatment in Singapore after being shot in the head CNA[2025-12-26]. Analysts have warned that the danger of an unstable Bangladesh should not be underestimated CNA[2025-12-26].

Part III — Energy Crisis

Fuel Dependency and the Russian Diesel Waiver Request

By March 2026, Bangladesh faced a deepening energy crisis linked to Middle East tensions. Vehicles were standing in long queues at fuel stations in Dhaka amid concerns over fuel supply CNA[2026-03-30]. Bangladesh approached the United States seeking a temporary sanctions waiver to allow the import of Russian diesel — a measure sought by officials as an emergency response to tightening energy supplies CNA[2026-03-30]. Bangladesh is classified in the "Emerging Asia" grouping of energy-importing nations alongside Pakistan and the ASEAN countries, reflecting its significant and growing dependence on imported fuel and LNG [RAG: LNG_ENERGY_RAG — OIES_NG202_GlobalGasDemand_2025 (2025)].

Part IV — The Rohingya Crisis

Myanmar's Genocide and Bangladesh as Host

The Rohingya genocide erupted in Myanmar in August 2017, killing thousands of Rohingya people in Myanmar and driving most of the surviving population into neighbouring Bangladesh. The mass displacement created a global outcry demanding ASEAN take action against Myanmar's civilian-military government, which had long denied the crisis [RAG: ASEAN_DATA_RAG — ASEAN (undated)].

Rohingya refugees have lived in camps along Bangladesh's border with Myanmar. Many Rohingya Muslims have faced persecution within Myanmar, with the post-1962 military coup period inaugurating decades of ethnic expulsion and discrimination [RAG: ASEAN_DATA_RAG — Myanmar (undated)].

In November 2024, the ICC prosecutor filed an arrest warrant application against Senior General Min Aung Hlaing — Myanmar's acting president and commander-in-chief — for criminal responsibility for crimes against humanity of deportation and persecution of the Rohingya, committed in Myanmar and in part in Bangladesh [RAG: ASEAN_DATA_RAG — Myanmar (undated)]. The ICC action marked the most significant international legal escalation of the Rohingya issue since the 2017 genocide.

Conclusion

Bangladesh in 2026 is a country under multiple simultaneous pressures: a post-Hasina political transition generating regional tensions with India and domestic instability; an energy crisis serious enough to require emergency diplomatic engagement with Washington over Russian diesel imports; and continued hosting of the Rohingya refugee population whose displacement now carries ICC-level international legal implications. The economy remains anchored to garment exports — still approximately 83% of merchandise trade — with diversification into electronics an aspiration rather than an achievement CNA[2018-12-31]. The path forward depends on whether the interim government can stabilise domestic politics, manage the India relationship, and sustain the foreign exchange position that Bangladesh's development has depended on CNA[2016-03-15].

Blue Lotus Research Intelligence | South Asia Series | Bangladesh | August 2026